

Global Media

Global Media: A beginner's guide to investing in Advertising



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Advertising is totally unnecessary. Unless you hope to make money." - Jef I. Richards

Following on from "[A beginner's guide to investing in Media](#)" published last year, we are focusing this year on the sub-sector Advertising. From traditional media owners, over agencies, ad tech and martech to the big digital platforms, combined this ever evolving industry is worth \$1trn globally. We look into the various sub-sectors, what KPIs to look into, the share price drivers and how the US/European markets compare/contrast.

The key structural insight: advertising growth is driven by redistribution, not consumption expansion. Global media consumption has plateaued at ~11 hours per day, constraining total inventory growth and implying intensifying competition for attention. Rather than structural volume expansion, value is shifting across formats and platforms, with digital now accounting for over two-thirds of global ad spend. This fragmentation increases execution complexity and raises the premium on scale, targeting, and measurement—favouring large digital platforms with superior data ecosystems

Two distinct advertising markets underpin diverging growth and risk profiles. Market #1 (agencies, traditional media) is concentrated, cyclical, and dependent on a few thousand large clients; spend is volatile and often the first cost to be cut in downturns. Market #2 (digital platforms) is driven by millions of SMEs, structurally more resilient, and less predictable from top-down indicators. Our data shows SME-driven revenues account for roughly two-thirds of major platform ad revenues, highlighting a fundamentally different growth engine. This distinction is often underappreciated by the market and explains persistent outperformance of platform-led models.

Digital advertising growth remains intact, but is evolving into a second phase. The first phase was driven by SME onboarding and self-serve tools; the second phase (since ~2023) is driven by inventory expansion (retail media, marketplaces, OTT) and personalisation at scale. Retail media in particular represents structurally high-margin, near-zero-cost inventory with strong targeting advantages, benefiting platforms like Amazon and delivery ecosystems. AI acts as an accelerant—enhancing targeting, creative generation, and conversion—while reinforcing the competitive moat of scaled platforms

Traditional players are adapting—but the mix shift remains insufficient. Broadcasters, OOH, and agencies are successfully replicating digital characteristics (e.g., ITvX, VIOOH), achieving higher growth in these segments. However, these businesses still represent a small proportion of group revenues, limiting their impact on overall growth and valuation. Meanwhile, core linear advertising continues to decline in markets like the US, with DTC growth only partially offsetting the gap. High client concentration and cyclical exposure further weigh on investment appeal.

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DETAILS

HOW TO THINK ABOUT GLOBAL ADVERTISING CATEGORISATIONS

- **Traditional Advertising:** The term traditional media typically refers to the advertising channels that were around before the emergence of the digital advertising era. Traditional advertising sub-sectors include free-to-air broadcasters, outdoor advertisers (e.g. billboard advertising companies), radio and newspapers, although the latter are no longer listed as standalone categories
- **Digital Advertising:** Digital advertising encompasses the sub-sectors that have emerged with the rise of the internet. It is a very wide wrapper that includes anything from digital advertising video on demand, classifieds, marketplaces, ad tech companies and the FAANGs.

Beyond the traditional/digital dissection, advertising can be split in the following four categories.

- **Big digital platforms:** search, social, video platforms - essentially consumer platforms that aim to sell targeted advertising at scale.
 - Search engines: platforms that monetize intent via keyword auctions and other advertising products.

- Social networks: stories, short-form video and feeds that are monetized via native advertising formats.
- Video platforms: these platforms include long and short-form videos with in-stream, in-feed, and sponsorship formats.
- Marketplaces and retail media: e-commerce and marketplace platforms selling on-site search/display and sponsored advertising/listings.
- **Traditional media owners:** TV broadcasters, outdoor advertising, print, radio and their digital extensions - these companies monetize their audiences as they sell advertising space alongside their content.
 - TV and streaming: broadcasters, cable/satellite networks, and AVoD platforms.
 - Out-of-home (OOH): traditional/digital billboards, street furniture, transport advertising networks.
 - Print: newspapers, magazines, and digital news' groups monetizing their audiences via advertising.
 - Audio: radio and digital audio platforms (i.e. streaming music) that have ad-supported tiers.
 - Thematic/specialist publishers: niche websites, trade media, and other information portals monetizing via display advertising.
- **Agencies/holding groups:** This category includes advertising/media agencies that plan, buy, create and execute media campaigns for brands; they take a fee or margin on ad spend.
 - Holding companies: The likes of WPP, Publicis, Omnicom. They manage diversified networks offering creative, media, PR, and other data/consulting services.
 - Specialist agencies: These tend to be focused on particular verticals (healthcare, performance, influencer, etc.).
 - Digital-first performance agencies: Agencies that tend to focus on all things digital and data-driven i.e. programmatic, search, social, CRM, and data-driven performance marketing.
- **Ad tech and martech:** demand-side platforms (DSPs), supply-side platforms (SSP), measurement, data, and marketing-automation providers that enable digital advertising. These tend to be softwares that sit between the advertisers and the media owners and take a cut on the spend.
 - Demand-side platforms (DSPs): tools advertisers and agencies use to buy advertising inventory on exchanges.
 - Supply-side platforms (SSPs): platforms that help media owners to monetize inventory via auctions.
 - Ad servers: They manage ad delivery and frequency for web and in-app inventory.
 - Attribution and measurement: Platforms that track and attribute advertising posts and conversion rates.
 - Verification and brand safety: viewability, fraud detection and brand suitability.
 - Connected TV/OTT ad platforms: marketplaces that allow seamless booking/buying of streaming video ad inventory.

REVENUE MODEL - A VOLATILE RIDE, BUT IT IS WORTH IT

Advertising powered revenue models are dominant in the media sector. An advertising revenue model has the following features:

- Advertising is typically viewed as being **early cycle** as it (arguably counter intuitively) is the first expense that companies cut when the macro environment deteriorates. It tends to show a correlation with consumer confidence KPIs. We'd argue that exactly in these pressure moments it is crucial to invest in advertising to support brand strength and, over the long term, a company's valuation.
- Advertising revenues are therefore **relatively volatile**, with DD quarterly swings in stressed macro conditions.
- As a rule of thumb, one can assume that **most advertising-driven businesses are consumer-facing**.
- The overall advertising world has been benefitting from a **mix shift to digital**, which tends to grow quicker than traditional advertising. Over the last decade advertising spend has aggregated around a few platforms only.
- **Advertising is all about scale**. The more a platform is scaled the higher advertising prices it can command. Advertising is paid generally by CPM/CPT in other words one is paying to have access to 1000 impressions.

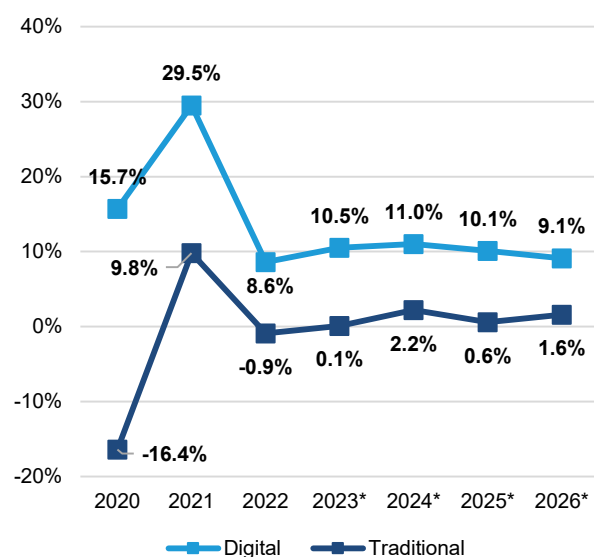
THE EXCHANGE AND FREE RIDER MODEL

Most **advertising models provide something in exchange to be able to charge advertising**. For example, free-to-air broadcasters provide content (TV shows and films) in exchange for advertising breaks that allow them to collect revenues. Outdoor advertisers provide bus shelters and billboards that allow councils to display community messages in exchange for being able to place advertising on these panels as well. News portals provide content/information and display advertising alongside to pay for it.

Then there are the free riders. For example, the leading classified players, which can display cars for sale and have car dealers pay to be able to place these listings (the content in this case) on the website. These types of firms consistently exhibit very high margins across many geographies. This is the by-product of enjoying a **content supply paid for by external contributors (the ultimate sweet spot** for a "media" business!). This is also the case for social media platforms enjoying free user-generated content.

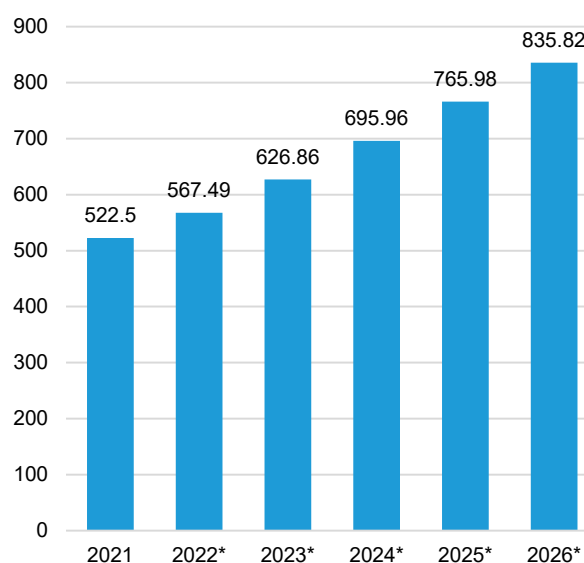
FROM DIGITAL TRANSITION TO DIGITAL FRAGMENTATION IN ADVERTISING

In the last 25 years the media sector has been dominated by the digital transition theme. This digitalisation has led to the disruption of some business models, higher capex/opex spend and, ultimately, to the emergence of new companies. The world's biggest advertising firms have only appeared in the last two decades. Today >2/3rds of global advertising revenues are coming from Digital.

EXHIBIT 1: Digital vs Traditional ad spending growth worldwide, 2020-2026

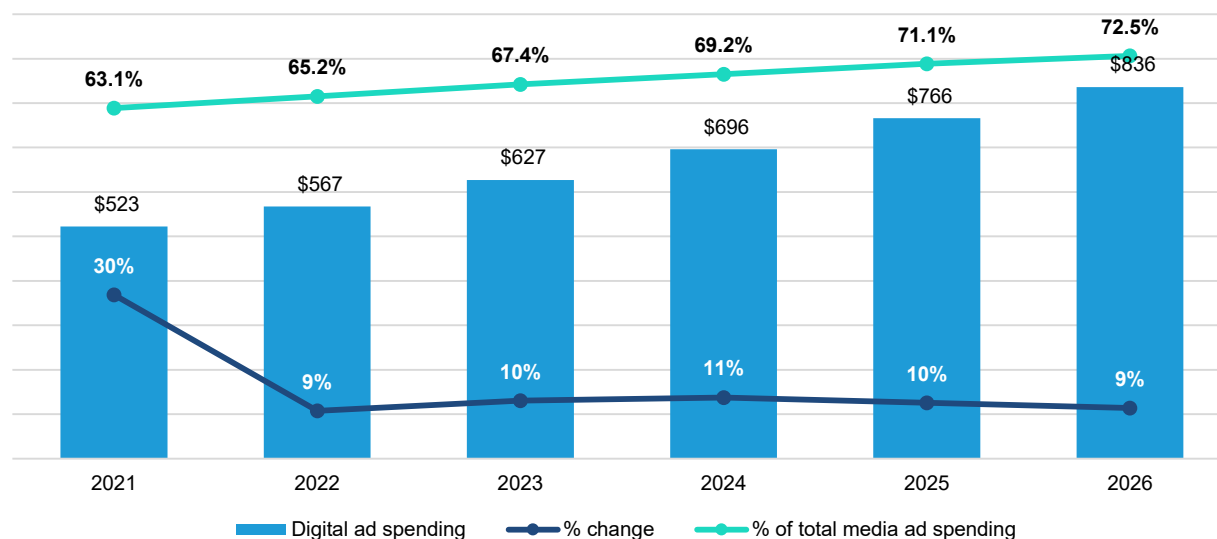
digital includes advertising that appears on desktop and laptop computers as well as mobile phones, tablets, and other internet-connected devices, and includes all the various formats of advertising on the platforms; traditional includes TV, magazines, newspapers, out-of-home, and radio

* Forecast
Source: eMarketer

EXHIBIT 2: Digital advertising spending worldwide from 2021 to 2026 (in billion U.S. dollars)

includes advertising that appears on desktop and laptop computers as well as mobile phones connected devices, and includes all the various formats of advertising on those platforms

* Forecast
Source: eMarketer, PubMatic

EXHIBIT 3: Digital ad spending worldwide, 2021-2026 (in billions)

includes advertising that appears on desktop and laptop computers as well as mobile phones, tablets, and other internet-connected devices, and includes all the various formats of advertising on the platforms; excludes SMS, MMS, P2P messaging-based advertising
Source: eMarketer

Digital ad growth has remained robust. There are three key reasons why Digital ad growth has continued to defy expectations, even though its share of the total ad market is maturing and user time spent on media is stabilizing.

- **Commercial activity continues to migrate online.** Globally ex-China, e-commerce penetration of total retail is in the mid-teens. Given that digital advertising is more measurable than analogue and often tied directly to a conversion event, there's a strong correlation between digital ad spend growth and e-commerce growth rates.
- **Time spent shift to digital channels.** While slowing, time spent with media continues to shift from traditional to digital channels. For example Connected TV have reached a tipping point with YouTube now the most watched TV channel in the US.
- **AI improvements to advertising performance.** In no field outside of coding/engineering has the impact of AI been more pronounced than in digital advertising. Not only have algorithms made it easier for advertisers to target their ads and send the right message to the right person at the right time, regardless of their campaign objective, but generative AI is now driving a shift in advertising creation.

DIGITAL ADVERTISING GROWTH FORMULA

$$\text{Online ad growth} = \text{Volume (penetration/usage)} \times \text{Price (auction based)} \times \text{New clients (2/3s SMEs)}$$

The two stages of digital advertising growth:

Stage 1: In this stage, which has dominated the last decade, we saw digital growth driven by SMEs as they were enjoying newfound self-service communications capabilities. To put this statement into context, SMEs actually account for two-thirds of online mega caps Alphabet and Meta's ad revs.

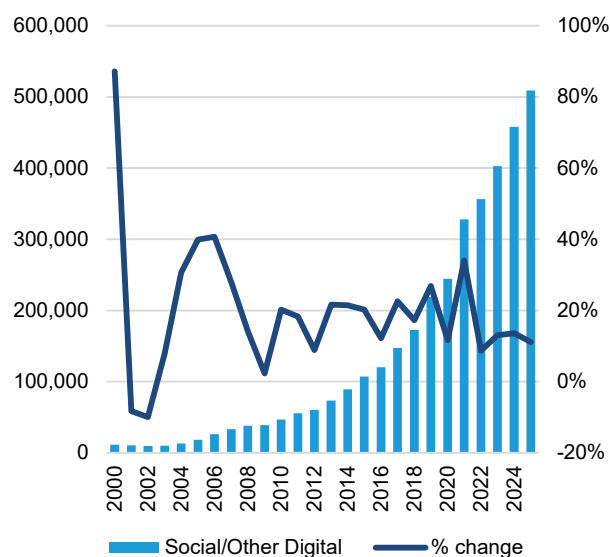
Stage 2: This phase started in 2023, with the accelerated expansion of media inventory (retail media, marketplaces, delivery apps, OTT platforms). Combined with emerging personalisation-at-scale opportunities, this creates the once unthinkable opportunity for larger advertisers to move more fluidly up and down the marketing funnel. Redefining the marketing funnel, with Retail Media exploiting free ad inventory at scale is a major opportunity for what were originally 'non-media' companies (retailers, apps, marketplaces).

EXHIBIT 4: **Only four of today's top 10 most valuable digital companies existed prior to 2000**

	Est. brand value in 2026	Launch year
Google	\$1,484bn	1998
Facebook	\$366bn	2004
Instagram	\$286bn	2010
Tencent	\$251bn	1998
YouTube	\$169bn	2005
Netflix	\$139bn	1997
TikTok	\$98bn	2016
LinkedIn	\$76bn	2003
Disney	\$52bn	1923
Spotify	\$35bn	2006

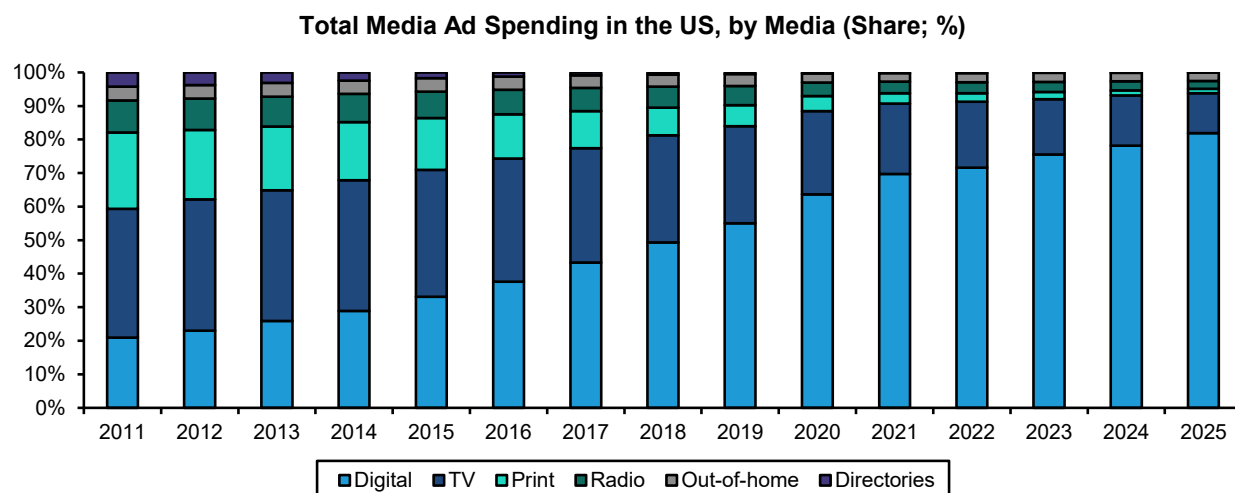
We excluded all AI companies
Source: Kantar, Bernstein analysis

EXHIBIT 5: **Global digital ad spend keeps on rising although slightly less strong than over the last decades**



Source: GroupM, Bernstein analysis

EXHIBIT 6: In recent years, the media sector has been dominated by the transition from traditional media to digital



eMarketer data updated May 2026
 Source: eMarketer; Bernstein analysis

ADVERTISING - IT IS NOT ALL THE SAME - MARKET #1 EMULATES MARKET #2 SUCCESSFULLY

We believe there are two fundamentally different advertising markets that are often referred to as one, yet they are structurally very different:

1. **Advertising Market #1:** The first one is dealing with large advertising clients (think global FMCG, retail, beauty brands, luxury sector etc). This advertising market is the one that is addressed in the trade press. It is the one that media/advertising agencies are dealing with. It is ultimately dependent on only a few thousand clients (Exhibit 11). These advertisers have big brand budgets but when they have operational/cyclical issues, often advertising (arguably counter intuitively) is the first cost line that is cut. Given the high client concentration any account loss can create volatile sector developments (Exhibit 12).
2. **Advertising Market #2:** The second advertising market is the one that is addressed by the major advertising platforms (e.g. Amazon, Meta, Google). The client base here is in the multiple millions - the SMEs of this world. This advertising market is not so much covered in the trade press even though it is larger and sees better growth levels. This is explained by the millions of small clients that this market is dealing with. It implies that the prediction power of one client is not really relevant nor telling. (Who cares if the bakery network of East London raises their advertising budget / it is more telling if P&G tells us they are raising their UK budget).

EXHIBIT 7: **There are two structurally different advertising markets with one growing much more than the other one, which is reflective of and in the client base**



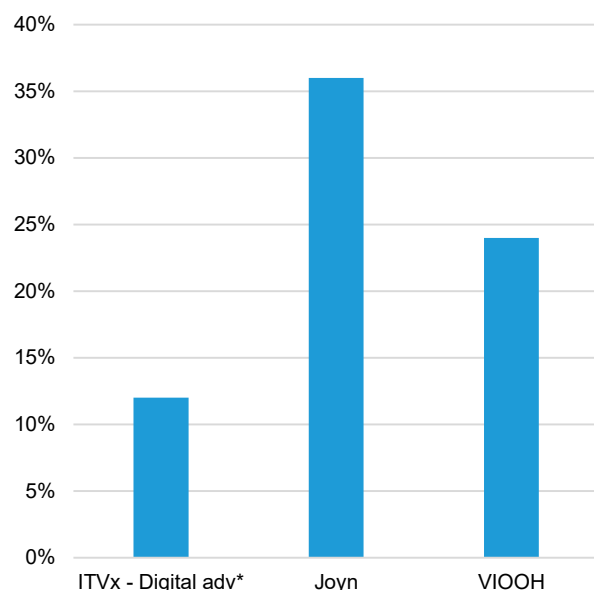
Source: trade press, company logos, Bernstein estimates and analysis

Market #1 is dominated by traditional advertising groups, where growth tends to be more muted at the group level. However, many of these firms are actively repositioning to emulate the faster-growing, more dynamic players in **Market #2**. When they do so they do it in a successful way as the growth rates in Exhibit 8 would testify. The challenge though is that the percentage of total revenues generated from these higher growth revenues are still small as Exhibit 9 shows:

- ITVx is ITV's SVoD/ADVoD platform,
- Joyn is ProSieben's AdVoD platform targeting local SMEs,
- VIOOH is JCDecaux's automated ad platforms targeting SMEs.

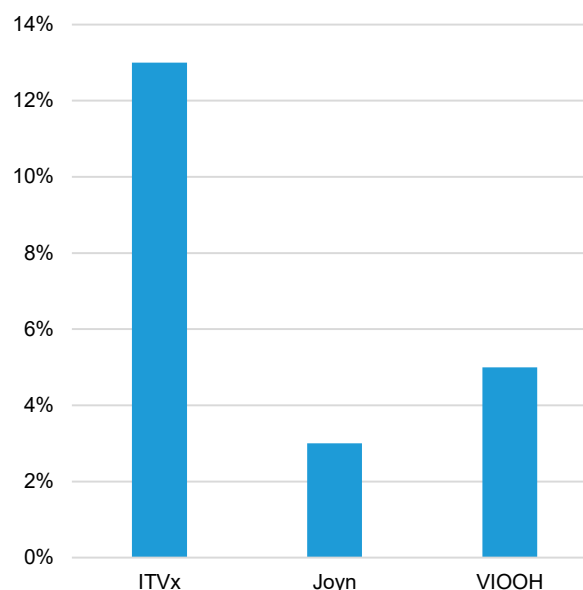
Even though the above platforms are in groups that typically have the characteristics of the Market #1 (i.e. few big clients that grow moderately), they have managed to emulate the features of Market #2 (i.e. attracting smaller high growth clients).

EXHIBIT 8: When Market 1 players adopt Market 2 practices they see good growth at least in line with players from Market 2 (2025 revenue growth)



for ITVx we used total ITVx advertising revs
Source: company reports, Bernstein estimates and analysis

EXHIBIT 9: However, these business units are only making up a small part of total revenues of their respective groups (% of FY25 revenues)

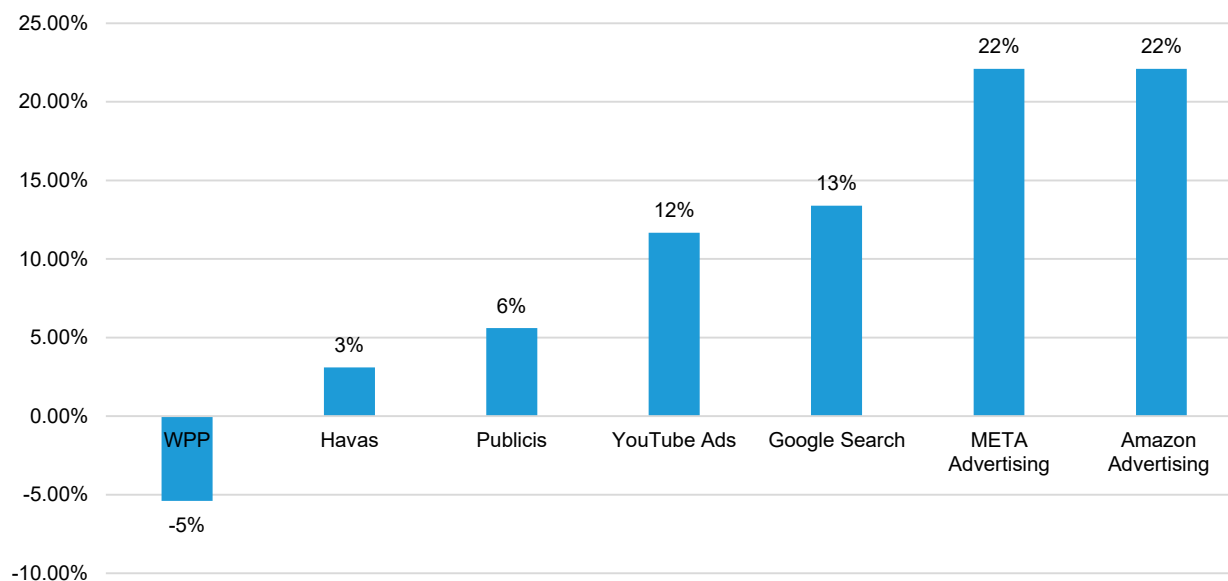


For ITVx we used adv and subscription revenues and we divided them by total ITV revenues (not only the Media & Entertainment business)
Source: company reports, Bernstein estimates and analysis

THIS DRIVES SOME CONCLUSIONS, WHICH WE BELIEVE ARE ESSENTIAL TO CONSIDER WHEN LOOKING AT THE ADVERTISING MARKET:

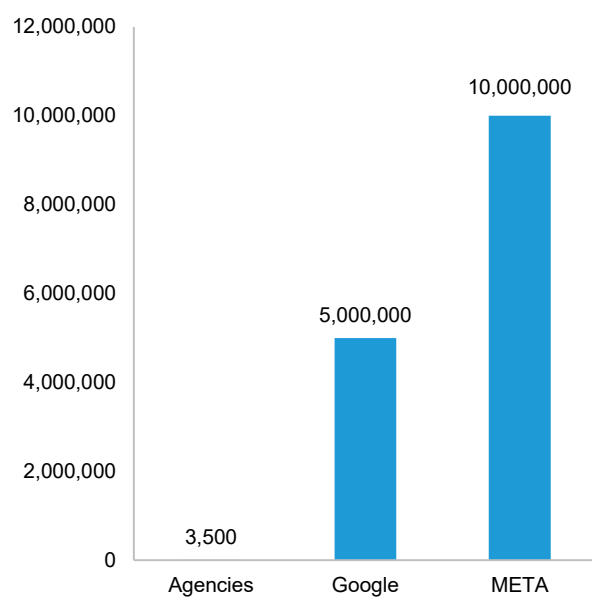
- The **advertising market generally is not under pressure** - Exhibit 10 clearly shows that advertising depending on where you look at is growing quite aggressively.
- Major **digital advertising platforms are more client agnostic** than traditional advertising agencies.
- **Agencies deal with an entirely different market** than digital advertising platforms.
- The mandate to **plan and execute a marketing plan is very different depending on the client**. It goes without saying that planning and executing a global advertising campaign for P&G is more difficult than making sure the Bakery chain of East London has a nice looking Instagram ad.
- **This has implications for AI transformations**- we believe a marketing self serve model is unlikely to replace agencies but is likely driving further growth for Internet platforms.
- What the trade press is covering **is not reflective of the entire advertising market**.
- The advertising market is becoming **more complex, fragmented and data intense**.

EXHIBIT 10: Advertising dynamics are different depending on who you look at - based on FY25 revenue growth (organic for the agencies)



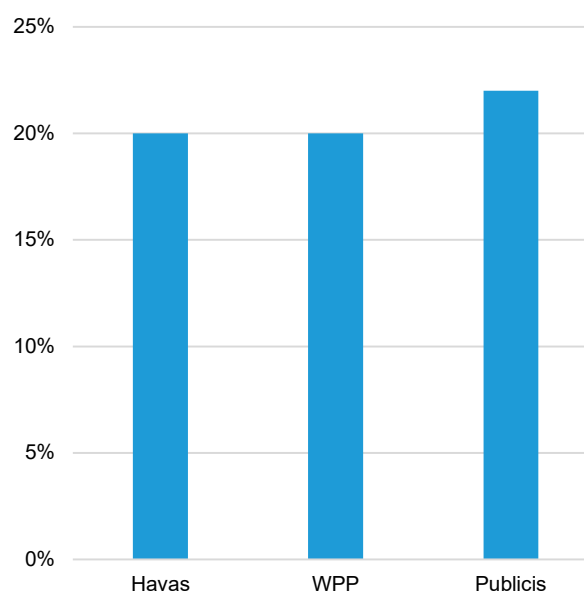
Source: company reports, Bernstein analysis

EXHIBIT 11: The advertising client pool of agencies is dramatically different to the one of the major Internet platforms



Source: Bernstein estimates and analysis

EXHIBIT 12: Client concentration is very high at the agencies (approximate revenues coming from top 10 clients)



Source: company reports, Bernstein estimates and analysis

EXHIBIT 13: **Agencies margins have been rising over the last two decades despite ongoing change and topline growth which not always looks super exciting**

	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Havas	11.5%	8.8%	8.2%	11.0%	12.1%	10.4%	11.8%	12.0%	12.4%	12.8%	13.0%
Interpublic	-1.5%	-1.7%	1.7%	5.6%	8.5%	5.9%	8.4%	9.8%	9.8%	8.4%	10.5%
Publicis	15.1%	15.7%	16.3%	16.7%	16.7%	15.0%	15.8%	16.0%	16.1%	16.5%	16.4%
Omnicom	12.5%	12.8%	13.0%	13.4%	13.0%	12.2%	12.2%	12.7%	13.4%	13.2%	13.4%
WPP	14.1%	14.0%	14.5%	15.0%	15.0%	11.7%	13.2%	14.3%	14.8%	16.5%	16.7%
Average Big 5	10.3%	9.9%	10.7%	12.3%	13.1%	11.0%	12.3%	13.0%	13.3%	13.5%	14.0%

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Havas	13.4%	13.0%	9.4%	9.8%	10.0%	5.9%	10.7%	10.3%	10.8%	11.5%	12.9%
Interpublic	11.5%	12.0%	12.8%	13.5%	14.0%	13.5%	16.8%	16.6%	16.7%	16.5%	n/a
Publicis	15.5%	15.6%	15.5%	17.0%	17.3%	16.0%	17.5%	18.0%	18.0%	18.0%	18.2%
Omnicom	13.4%	13.8%	14.4%	14.0%	14.2%	12.1%	15.4%	14.6%	14.3%	14.5%	15.0%
WPP	16.9%	17.4%	17.3%	16.0%	14.4%	12.9%	14.4%	14.8%	14.8%	15.0%	13.0%
Average Big 5	14.1%	14.4%	13.9%	14.1%	14.0%	12.1%	15.0%	14.9%	14.9%	15.1%	14.8%

Source: company reports, Bernstein analysis

COMPLEXITY - FRAGMENTATION - DATA TRANSPARENCY

In Mad Men days, buying and booking advertising used to be easy with limited choices (i.e. TV, Outdoor, Newspaper or Radio). Today ad buyers navigate between leaderboard, skyscraper, MPU/rectangle, half-pages and mobile banners - and these acronyms are all only formats of "standard banners" in display advertising. There are thousands of media platforms and advertising formats available today. Needless to say not only the **amount of advertising** increased exponentially but also the **complexity** of the space driven among others by the **ongoing fragmentation** of the advertising space rose.

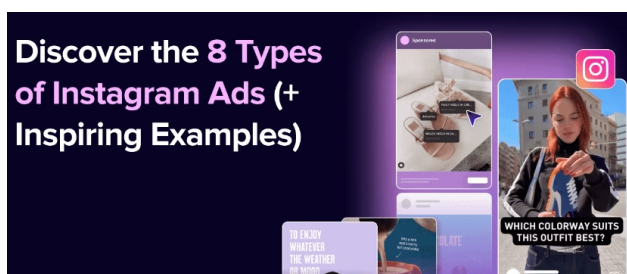
The reality is that global media consumption has plateaued at around 11 hours per day, effectively signaling market maturity given we're awake roughly 15 hours daily. This underscores our view that despite the growth of certain advertising channels, **we are facing a redistribution of value across an ever more fragmented media landscape**, rather than a true expansion of media consumption. It shows that it is **ever more complicated to capture the audience** that ultimately will drive advertising revenues.

EXHIBIT 14: **The advertising options have multiplied since the Mad Men days**



Source: <https://www.idcomms.com/blog/agency-remuneration-the-key-to-just-about-everything>

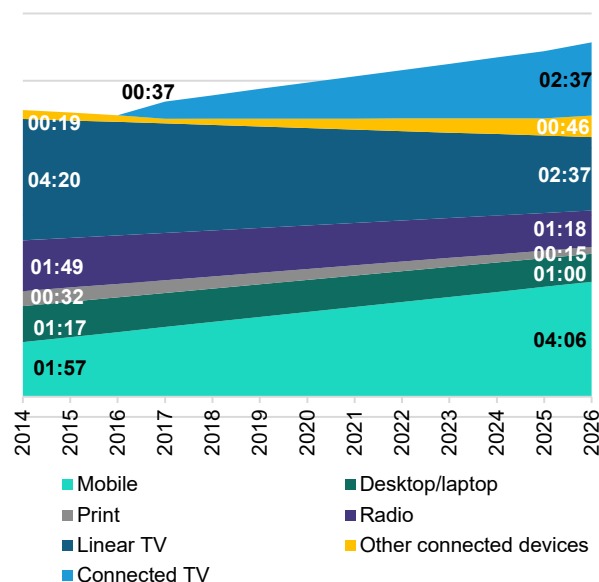
EXHIBIT 15: **Today on instagram alone you can advertise in 8 formats but there are 1000s of other options in which one can advertise**



Source: <https://madgicx.com/blog/types-of-instagram-ads>

EXHIBIT 16: Among media access points, mobile devices dominate time spent, but CTV is Growing Faster

average hr:mins spent per day with media/device among US adults, digital vs. traditional, 2014-2026

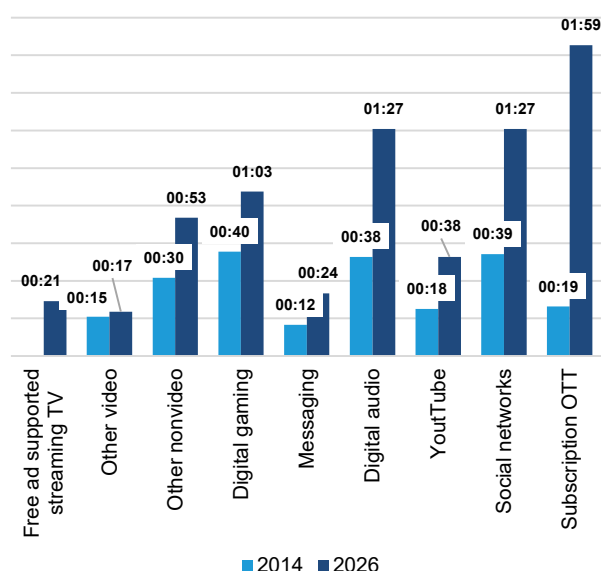


We assumed linear growth in between 2014 and 2026 and for Connected TV between 2017 and 2026.

Source: eMarketer, Bernstein analysis

EXHIBIT 17: US adults spend over eight hours per day with Digital Media via a multitude of disparate activities

average hrs:mins spent per day among US adults with select platforms/digital activities, 2014-2026



Ages 18+; includes all time spent with internet activities on any device; Free ad-supported streaming TV time is included in "other video" prior to 2021; *includes YouTubeTV

Source: eMarketer, Bernstein analysis

REGULATION & MEASUREMENT

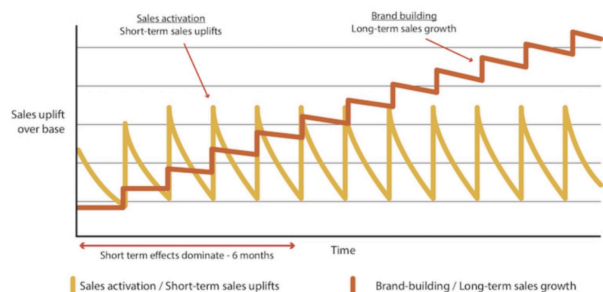
Regulation and measurement dictate a lot in advertising. Data regulations notably GDPR (General Data Protection Regulation) put limits to what can be done today with digital advertising. Here below we lay out some of the major advertising regulations. However, as a rule of thumb data regulations are more relaxed in the US than in Europe. This has implications on the data strategies companies adopt (e.g. 10 Apr 2026 - [WPP and Media Complexities - Episode 2: Data Playbooks - Sizing up Walled Gardens vs Open Ecosystems](#)).

- **GDPR is an EU regulation** that aims at protection personal data/privacy as it gives people control over their data while putting obligations on companies such as the implementation of certain tools and practices. The regulation has been in place since 2018.
- The **Digital Directive is also an EU regulation** that aims to guarantee a safe online environment. This regulation encompasses the Digital Services Act ensures the detection of illegal content or misinformation.

Measurement is a major theme in advertising. This is linked to the fact that in advertising it is all about reaching the maximum audience and if you can measure who/how many you reach you have more pricing power. Although measurement intuitively should be easy today given we all carry a mobile phone around that connects to various Wifi networks or browse websites that are cookie enabled, the reality is that the currency on which most traditional media is measured is still outdated. For example, Outdoor advertising is still measured by people self-assessing at the end of the day. Because these measurement systems are the official ones they tend to be viewed as reliable and explain why still so much money is going to some of the traditional advertising channels notably TV.

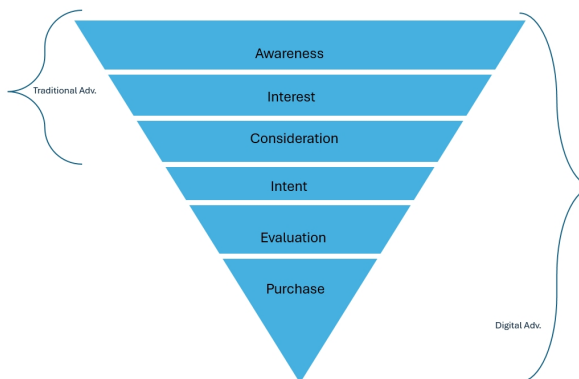
Traditional advertising notably TV and Outdoor are seen as brand building channels with a longer-term impact on consumers' purchasing behavior (Exhibit 18). Arguably though the long-term impact is more difficult to measure. Digital advertising comes with the advantage that commercial impact can be measured pretty much instantly as the process from awareness of a product to actual purchase is much shorter (Exhibit 19/Exhibit 20).

EXHIBIT 18: Brand-building and sales activation work over different timescales



Source: Les Binet and Peter Field, Media in Focus: Marketing Effectiveness in the Digital Era, IPA

EXHIBIT 19: Digital advertising can reach the entire marketing funnel whereas traditional advertising was always limited to the top of the funnel.

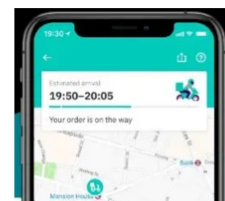
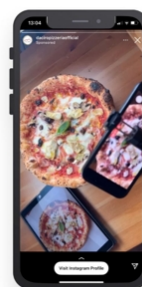


Source: Bernstein estimates and analysis

EXHIBIT 20: Particularly newer forms of Digital Advertising reduce the journey from awareness to POS



In the Traditional Advertising journey, it takes some time before purchase whereas Digital advertising allows quicker turnaround



Source: Bernstein estimates and analysis; Images from trade press

ADVERTISING AND AI

The future of advertising and AI depends on whether one's view is that shopping agents will take over or not. We believe the world is slightly less black and white. While shopping agents may take over some of the purchases, we believe generally the higher the stakes of the transaction, the less likely shopping agents are involved. For reference, when e-commerce gained traction in the 90s the view was that all the shopping would instantly move online and >35 years later, despite Covid-19 accelerating the online shopping experience, still only mid-teens percentage of all shopping is done online. This illustrates well that consumer habits tend to take time to shift. Assuming shopping agents are taking over, platforms will have to establish product preference, which ultimately will be established by advertising we believe.

For advertising market #1 and #2 we believe the stakes are slightly different:

Within advertising market #1 the traditional media owners (e.g. TV broadcasters) should be able to extract synergies from AI both on the cost (e.g. system automation) and revenue side (e.g. sales acceleration).

With AI, agencies have access to tools that allow them to perform their services in a quicker fashion putting at risk their time-based billing model. Does that mean agencies will disappear? We do not believe so - in an increasingly fragmented and complex advertising world, major companies will need helpers to plan and execute their marketing plans.

As for advertising market #2 self-serve models should allow a multiplication of advertising revenues as more SMEs tip their feet into advertising themselves. AI-driven marketing raises regulatory concerns around data privacy, misleading advertising, and brand safety, which will be difficult for any regulator to address given the ever-changing environment.

Our teams have written various AI advertising reports over the year:

5 Nov 2025 - [The Long View: Challenging AI concerns - Trust and ROI beat "wow" effect](#)

10 Feb 2026 - [Classifieds: AI meets real world challenges](#)

THE ADVERTISING SUB-SECTORS

FREE-TO-AIR AND PAY TV IN TRANSITION

Universe

Commercial TV companies generate revenues by showing consumers ads during and in between the TV shows, films and news programs they broadcast. FTA TV is perceived by brands as a mass marketing (and brand building) channel, the only one with OOH advertising.

EXHIBIT 21: Broadcasters under Bernstein coverage

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
PSM.GR	ProSiebenSat1 Media	Market-Perform	EUR	\$ 3.7	€ 4.3	16%
RRTL.GY	RTL Group	Market-Perform	EUR	\$ 31.7	€ 37.0	17%
TF1.FP	Societe Television Francaise 1	Market-Perform	EUR	\$ 6.8	€ 7.5	10%
MMT.FP	Metropole Television SA	Market-Perform	EUR	\$ 11.4	€ 11.0	-4%
ITV.LN	ITV PLC	Market-Perform	GBp	83p	86p	4%
CAN.LN	Canal+ SA	Outperform	GBp	270p	315p	16%
CMCSA	Comcast Corp	Market-Perform	USD	\$ 23.5	\$ 32.0	36%
FOXA	Fox Corp	Market-Perform	USD	\$ 64.3	\$ 73.0	14%
DIS	Walt Disney Co	Outperform	USD	\$ 99.4	\$ 129.0	30%
PSKY	Paramount Skydance	Underperform	USD	\$ 10.5	\$ 12.0	15%

Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE MOVERS AND SHAKERS

The main share price mover is the development of advertising revenues. The profit drop-through from advertising revenues is so high given a fixed cost base (e.g. c.80%) that a better top-line trend can have a meaningful impact on EBIT and FCF.

KEY FINANCIALS

1. Revenue growth. Broadcasters typically rely on advertising, some content revenues, distribution revenues and other revenues depending on the diversification. What to look for: audience and revenue trends over time to see whether the broadcaster is monetizing its content effectively.

2. Advertising revenue. Advertising is the biggest source of income for free-to-air broadcasters. What to look for: change in advertising revenue, season-specific events such as Easter or sporting events can be big swing factors on a QoQ basis. As a rule

of thumb free to air broadcasters used to shy away from live content (due to the higher cost). However, in the last couple of years they have started to sporadically buy selected sports content - these events drive other revenues (e.g. Sponsorship) and help to drive audiences with a positive impact on the adjacent TV shows.

3. Audience reach and share. The size of the audience is the USP of a broadcaster. It directly impacts the broadcaster's revenue potential from advertising. Investors have recently been focusing on the TV companies' online audiences as broadcasters are in the midst of changing from traditional free-to-air broadcasting to advertising video on demand (AdVoD) platforms. What to look for: broadcaster audience share and the demographics of the audience can help predict a company's performance.

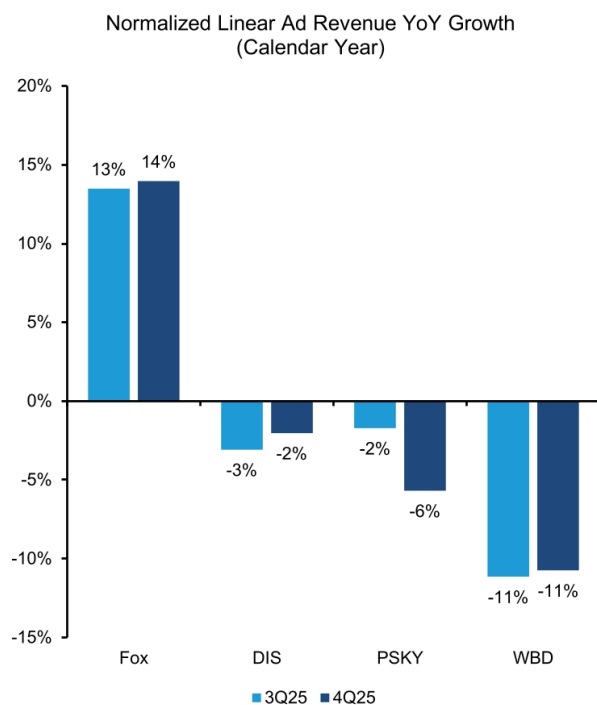
4. Program costs. One of the biggest cost lines for broadcasters is programming costs. Content costs can include in-house produced shows, licensed content, and library assets. Typically, relying on local content is cheaper than American content. Also, sports events such as football can inflate content costs massively in one year. What to look for: how the budget changes YoY and what explains these changes. As TV broadcasters develop their streaming offers, some have raised their content budgets significantly.

5. Streaming adoption. The rise of digital streaming has significantly impacted traditional broadcasters, as audiences shift to online platforms. What to look for: online viewer numbers (unique and recurring) as well as time spent on the OTT (over the top) platforms.

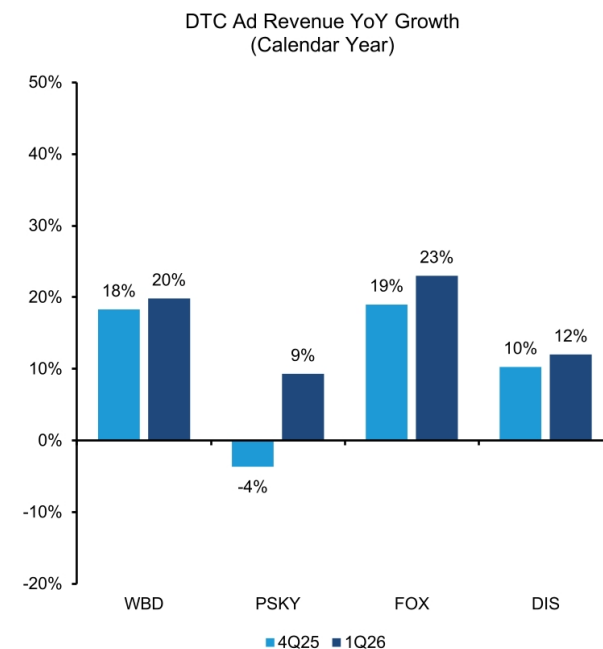
TRANSITION FROM LINEAR ADVERTISING TO DTC ADVERTISING IN THE US

In the US, the number of Pay TV subscribers has been declining for several years, as viewers replace traditional linear TV packages with streaming subscriptions. As a result of this shift, linear advertising revenues for US Media companies have generally been declining ([Exhibit 22](#) and [Exhibit 24](#)) (FOXA is a notable exception), while DTC advertising revenues are growing ([Exhibit 23](#)).

While the growth in DTC advertising revenue offsets some of the linear decline, the industry total ad revenue is still declining ([Exhibit 25](#)) as eyeballs also transition to vMVPD platforms - such as YouTube TV - or social media/short form content.

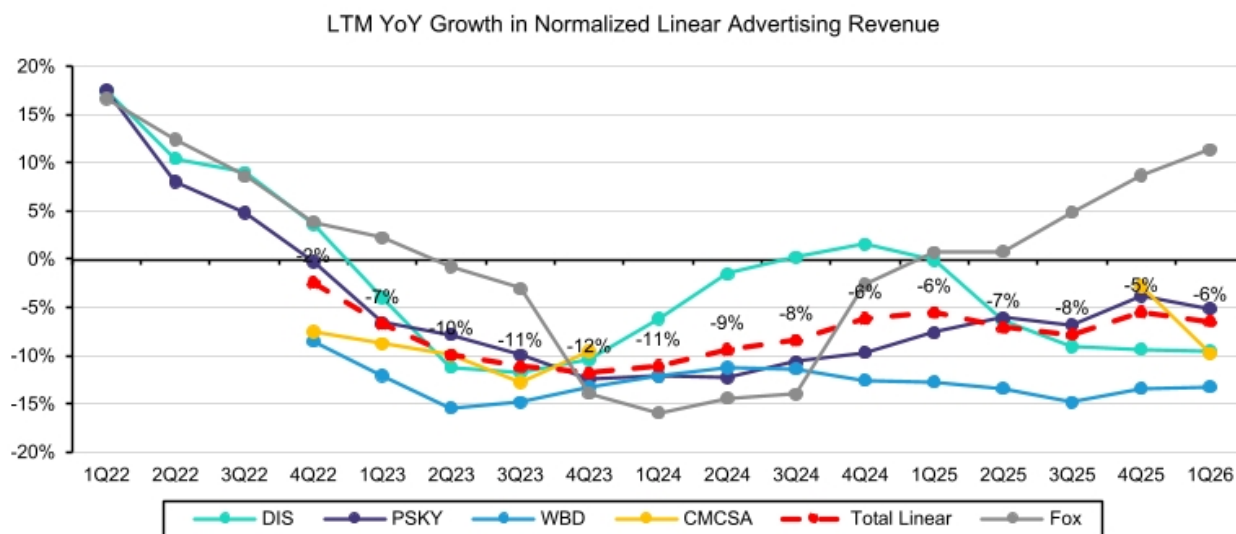
EXHIBIT 22: Normalized linear advertising revenue continue to decline for all media companies except for Fox


Normalized advertising revenue takes out the revenue from sports events such as the Olympics and the Super Bowl, and political advertising revenue around the presidential election in 2024; Fox's linear advertising revenue excludes Tubi revenue, which is our estimate; CMCSA refers to NBC Universal
Source: Company filings

EXHIBIT 23: All DTC platforms had strong advertising revenue growth


Fox's revenue from Tubi is based on our estimate; CMCSA refers to NBC Universal

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 24: Industry total linear advertising revenue has continued to decline, Fox remains the only player with positive linear ad revenue growth


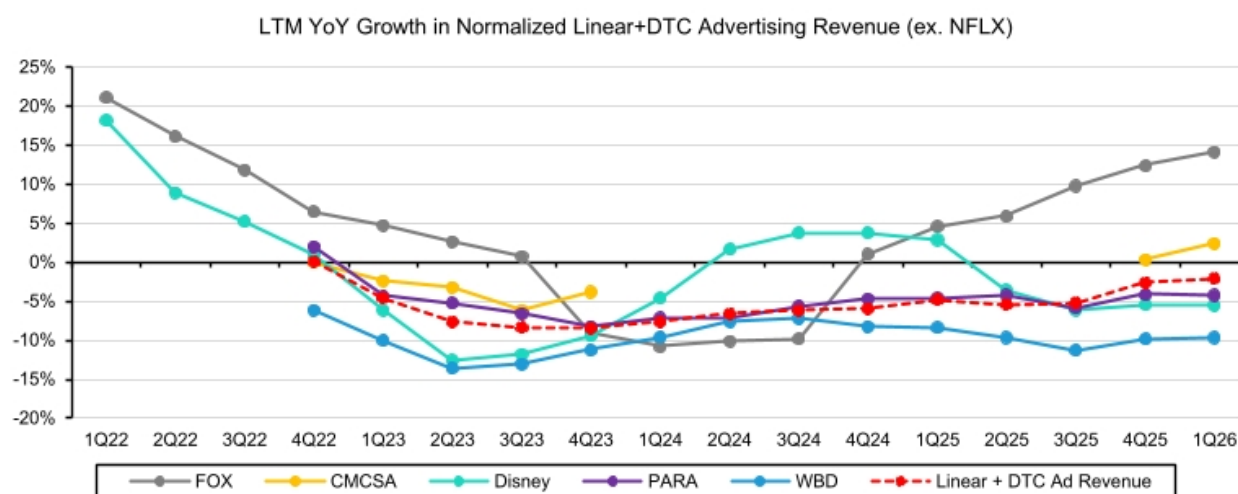
Normalized advertising revenue takes out the revenue from sports events such as the Olympics and the Super Bowl, and political advertising revenue around the presidential election in 2024; Fox's linear advertising revenue excludes Tubi revenue, which is our estimate; CMCSA refers to NBC Universal.

Comcast revenue growth is removed in 2024 and 2025 due to the recasting of Ex-Versant revenues.

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 25: While the growth in DTC advertising revenue offset some of the linear decline, the industry total ad revenue is still declining

Implies Linear ad dollars not shifting fast enough to Streaming and/or new SVOD inventory (e.g., Netflix and APV) taking share



Normalized advertising revenue takes out the revenue from sports events such as the Olympics and the Super Bowl, and political advertising revenue around the presidential election in 2024; CMCSA refers to NBC Universal. Comcast revenue growth is removed in 2024 and 2025 due to the recasting of Ex-Versant revenues. Source: Company reports, Bernstein analysis

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 26: Bernstein FTA TV coverage and track record in terms of dividends, share buybacks and M&A

Ticker	Company	Dividend	Share buyback	M&A
PSM.GR	ProSiebenSat1 Media	+	N/A	N/A
RRTL.GY	RTL Group	++	N/A	N/A
TFI.FP	Societe Television Francaise	++	N/A	N/A
MMT.FP	Metropole Television SA	++	N/A	N/A
ITV.LN	ITV PLC	+	N/A	N/A
CAN.LN	Canal+ SA	+	N/A	++
CMCSA	Comcast Corp	+	+	++
FOXA	Fox Corp	+	+	N/A
DIS	Walt Disney Co	+	+	N/A
PSKY	Paramount Skydance	+	N/A	++

N/A stands for no major M&A or buyback in the last couple of years
Source: Bernstein estimates and analysis

REGULATION / COMPETITION

Competition. Free-to-air broadcasters face increasing competition from streaming services, social media and digital platforms that show short-form videos. Many of these streaming platforms, which initially launched with the idea of disrupting the traditional TV space with the adoption of subscription monetisation models, have since added advertising-funded tiers.

What are the key regulations? The biggest regulatory risk for traditional broadcasters is that certain advertising categories may be prohibited from advertising on TV entirely or at certain hours of the day.

US VS EUROPE

Ad breaks. Ad breaks in Europe are often limited to ~12 minutes per hour in Europe, whereas in the US it's 16 minutes during the day time and 12 minutes in prime time. This varies by country and time of the day but creates a supply-side limit that can favour pricing. The ad breaks are shorter for pure players like Netflix and other DTC platforms, which range from 4 to 10 minutes per hour. Netflix and Disney+ are at the lower end of that range, while other platforms like Hulu focus more on advertising monetisation and are at the higher end of that range.

State TV. Most European countries have national broadcasters, which are in competition with the commercial broadcasters. The national broadcasters are often allowed to advertise but only during restricted time windows.

OUTDOOR ADVERTISERS

Universe

Often referred to as Out-of-Home advertising (OOH), outdoor advertising is the only other mass marketing channel that exists in the advertising world. OOH firms rent space (from mostly cities or councils) and place billboards or bus shelters on these spaces where they can display ads. In exchange the public sector has the right to advertise its services for a certain share of the time. There is a narrative that OOH is taking share from TV as the latter is attracting fewer viewers than in the past.

EXHIBIT 27: Listed OOH businesses

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
SAX.GY	Stroeer SE & CO KGAA	Market-Perform	EUR	€ 35.3	€ 36.0	2%
DEC.FP	JCDecaux SE	Market-Perform	EUR	€ 18.7	€ 20.9	12%
OUT.US	Outfront Media	No Rating	USD	\$ 31.3		
CCO.US	Clear Channel	No Rating	USD	\$ 2.4		
LAMR.US	Lamar Advertising	No Rating	USD	\$ 149.6		

Outfront Media, Clear Channel and Lamar Advertising are not covered by Bernstein
Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE DRIVERS

The key KPIs for outdoor advertising companies are organic revenue growth of the Out-of-Home divisions. Again, these are advertising revenues and therefore have a high profit drop-through and impact on FCF. Also, capex is a notable KPI in OOH. OOH is a high-capex industry, particularly as it is in the midst of digitizing its billboards and bus shelters (a process that was initiated in 2012/13). Typically, OOH firms spend 6-8% of sales on capex.

In February Mubadala Capital announced the acquisition of Clear Channel in an all-cash deal. The transaction is subject to shareholder and regulatory approvals and is expected to close by the end of 3Q26. Also for Stroeer - takeover headlines hit the press from time to time. There has been a lot of M&A in the space over the last 12m, and we would not be surprised to see more of this in the coming 12m.

KEY FINANCIALS

1. OOH revenues. Outdoor advertisers rely on advertising as their main revenue source. What to look for: track OOH revenues over time. Extraordinary events that are advertised on billboards (e.g. the Olympics) can impact OOH advertising revenues positively.

2. Rent is typically the largest cost line for outdoor advertisers. They pay landlords (e.g. cities or other private landlords) rents to be able to put their billboards or bus shelters in a certain location. Since the introduction of IFRS16, seeing the rent impact on a like-for-like basis has been challenging.

3. Capex. Outdoor advertising is a high-capex business model. Typically, European OOH spend 6-8% of sales on capex per year. This is a lot for the media sector. The capex is spent on the construction of billboards or bus shelters. Capital expenditure has been particularly high since 2012/13, when the inventory started to become digital

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 28: **Listed OOH businesses**

Ticker	Company	Dividend	Share buyback	M&A
SAX.GY	Stroeer SE & CO KGAA*	+	+	N/A
DEC.FP	JCDecaux SE	+	N/A	+
OUT.US	Outfront Media	+	+	N/A
CCO.US	Clear Channel	N/A	N/A	N/A
LAMR.US	Lamar Advertising	+	++	N/A

Outfront Media, Clear Channel and Lamar Advertising are not covered by Bernstein. *Stroeer executed once in its history a small buyback
Source: Bernstein estimates and analysis

US VS EUROPE

The US has three listed OOH firms, Clear Channel, Lamar Advertising and Outfront Media. Lamar is closest to Stroeer in that both are more regional businesses whose key clients are SMEs. Clear Channel, JCDecaux and Outfront Media compare more easily from a client point of view and in terms of geographic exposure. Outfront Media and Lamar Advertising are both REITs. Clear Channel has been taken out but the deal is currently undergoing regulatory checks.

ADVERTISING AGENCIES

Universe

These agencies can be thought of as consultants that help brands to plan, buy and launch their advertising campaigns. In most cases (although the revenue model is about to change), they are paid commissions on the work they do for the brands. The biggest cost line for these companies is staff.

The industry is currently facing an unprecedented consolidation - the merger of Omnicom and IPG in 2025 led to four (down from 5) major holding advertising agencies, a competitive dynamic not seen in over 15 years. It was in 2012 /13 when Dentsu joined the ranks of the holdcos as it acquired Aegis. Prior to this the 4 leading agencies had dominated the space since pretty much the 1990s.

EXHIBIT 29: Listed advertisement agencies

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
PUB.FP	Publicis Groupe	Outperform	EUR	€ 89.2	€ 115.0	29%
WPP.LN	WPP PLC	Market-Perform	GBp	271p	332p	22%
Havas.LN	Havas NV	Outperform	EUR	€ 16.2	€ 21.0	30%
OMC.US	Omnicom	No Rating	USD	\$ 73.7		
DNTUY	Dentsu	No Rating	Yen	¥ 2,989		

Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE DRIVERS

Organic revenue growth is the key metric that investors focus on for agencies. The other KPI is operating margin, as agencies have demonstrated that they are able to grow margin even though they are operating in a sector that is in constant flux.

KEY FINANCIALS

1. Revenue growth. Agency revenue growth used to correlated to GDP growth. This is because the C-suite has the view that macro deterioration stands for less consumer purchasing power. We believe exactly in these instances, it is important to advertise to grab a higher share of the consumer wallet. What to look for: organic revenue growth and how it compares to peers.

2. US revenues. Investors tend to concentrate on US growth as in the US most agencies have larger media-buying operations (a scale business) which therefore implies bigger margins.

3. Operating profit. Agencies have over the past two decades demonstrated that they can deliver on margin despite operating in a sector that is in constant flux. Agencies are people businesses, and for the last decades revenue and staff inflation have been correlated. Since last year (is it AI or the unprecedented market structure?) we have seen for the first time a de-correlation between staff/revenue inflation. If this is to persist it could be a catalyst for agency margins. What to look for: any comments regarding salary progression or off-shore ambitions can give an indication as to how a company handles its margins.

There is a narrative out there that the **disconnect seen between revenue growth and wage inflation observed at some agencies at FY25 is due to AI**. We do not believe this is the case (for now) - for reference as we speak both WPP and Publicis have c.3k live job listings on their respective websites, which does not scream AI efficiencies - but if a disconnect between revenue and wage inflation would be persistent this would be a catalyst for agencies' margins.

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 30: **Agencies tend to pay out dividends and occasionally carry out buybacks**

Ticker	Company	Dividend	Share buyback	M&A
PUB.FP	Publicis Groupe	+	+	+
WPP.LN	WPP PLC	+	+	+
Havas.LN	Havas NV	+	+	+
OMC.US	Omnicom	+	+	++
DNTUY	Dentsu	+	+	N/A

Source: Bernstein estimates and analysis

US VS EUROPE

While Omnicom is the only listed major American agency, Publicis is almost American as it derives 60% of its revenues from the continent. American agencies tend to have higher profit margins as they benefit from greater economies of scale.

CLASSIFIEDS

Universe

Think of the car or house ads that used to be at the back of a newspaper or on a flyer in your post box. Classifieds are essentially that but in a digital format. These days consumers visit websites to browse used cars or houses. Revenues are generated by charging subscriptions to dealers/agencies allowing them to list their inventory on the classifieds' website.

EXHIBIT 31: Classifieds under our coverage

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
G24.GY	Scout24 SE	Outperform	EUR	€ 74.5	€ 90.0	21%
RMV.LN	Rightmove PLC	Outperform	GBp	440p	563p	28%
AUTO.LN	Autotrader Group PLC	Market-Perform	GBp	460p	545p	19%
ZG.US	Zillow Group	Outperform	USD	\$ 35.5	\$ 70.0	97%

Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE DRIVERS

Generally ARPU/A (average revenue per agency/dealer) and dealer/agent penetration numbers are share price drivers, but the last 10 month the industry (and the share prices) have been dominated by AI disintermediation fears.

KEY FINANCIALS

- Revenue growth:** Revenue growth is predominantly a metric of ARPU/A (average revenue per agency/dealer) and dealer/agent penetration numbers are share price drivers. Classifieds tend to charge their services via memberships that they sell to agencies and dealers - these drive ARPU. Often classifieds sell add-on services on top of the membership features.
- EBITDA margin:** Leading classified players consistently exhibit very high margins across many geographies. This is the by-product of 1) enjoying a content supply paid for by external contributors (the ultimate sweet spot for a "media" business!) 2) underlying markets liquidity optimized by the dominance of one player by geo/vertical.

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 32: Classifieds tend to pay out dividends and buybacks

Ticker	Company	Dividend	Share buyback	M&A
G24.GY	Scout24 SE	+	++	++
RMV.LN	Rightmove PLC	+	++	N/A
AUTO.LN	Autotrader Group PLC	+	++	N/A
ZG.US	Zillow Group	N/A	++	+

Source: Bernstein estimates and analysis

US VS EUROPE

There are multiple listed US classifieds; we only cover Zillow. A major difference between Europe and the US is that in the former the focus monetizes seller leads, in the latter it is more common to monetize buyer leads. US classifieds have experimented more with the transactional element of classifieds. In Europe, these places remain high margin marketplaces.

For example, Zillow is shifting from a prepaid advertising model for buyer leads toward a post-transaction take rate model. Zillow's involvement in housing transactions goes beyond buyer lead monetization as well (e.g., booking tours, financing, and listing monetization). The US also has real estate Multiple Listing Service (MLS) networks, which are databases where real estate agents pool property listings and cooperate on sales under the regulatory framework. In Europe, there is no real MLS equivalent and markets are therefore more portal-centric.

AD TECH

Universe

These programmatic platforms use data and algorithms to help advertisers buy and optimize digital media across channels like display, video and CTV in real time. They are intermediaries and sit in between brands, agencies and retailers - they then use the data available to them to target audiences, measure performance and drive higher return on ad spend.

EXHIBIT 33: Ad tech

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
TTD.US	Trade Desk	No Rating	USD	\$ 20.6		
CRTD.US	Criteo	Outperform	USD	\$ 17.2	\$ 35.0	104%

Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE DRIVERS

Revenue acceleration/deceleration as well as headlines around adapting to an ever-changing ecosystem. In the current context a key question for Criteo is for instance whether agentic AI will shorten consumer journeys, and reduce ad exposure opportunities. A key monetization model for shopping agents, and LLMs platforms will be to tap the advertising market. This will open yet another source of ad inventory, with high intent value (cue Generative Engine Optimization). Management sees agents as an “enhanced search” tool, and believes that its network and transactions dataset (\$1tn of transactions and 4.5bn products SKUs “seen” every year) will remain critical to deliver contextual advertising. The company has also launched an “Agentic Commerce Recommendation Service”, which “assists” AI shopping assistants by surfacing relevant items (incl. availability, user preferences) and proposing a curated short list of recommendations. This could emerge as an organic way of reaching agents (vs the paid GEO approach).

KEY FINANCIALS

- Revenue growth** For Trade Desk “Platform spend” is a key metric as trade desk takes 15-20% of these gross revenues going through the platform. For Criteo “Contribution ex-TAC”, which reflects the group’s revenue minus Traffic Acquisition Costs, is a key metric.
- EBITDA margin** On the profitability side ad tech companies tend to focus on Adjusted EBITDA, which comes pre capex (HSD to 10% of revs at CRTD), and pre share based compensation which is a sizeable cost line

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 34: Ad Tech capital allocation

Ticker	Company	Dividend	Share buyback	M&A
TTD.US	Trade Desk*	N/A	+	N/A
CRTD.US	Criteo	N/A	++	N/A

Trade Desk executes a minimal buyback

Source: Bloomberg, Bernstein estimates and analysis

US VS EUROPE

There are no major data ad tech data platforms headquartered in Europe, we believe this is due to the fact that data regulation is much stricter in Europe.

SOCIAL MEDIA

Universe

These large-scale platforms allow users to create, engage with and share content. This leads to highly engaged communities around certain topics that can then be monetized via targeted advertising.

EXHIBIT 35: **Bernstein's Social Media coverage**

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
RDDT.US	Reddit Inc	Market-Perform	USD	\$ 169.5	\$ 190.0	12%
META.US	Meta Platforms Inc	Outperform	USD	\$ 623.0	\$ 850.0	36%
PINS.US	Pinterest Inc	Outperform	USD	\$ 20.7	\$ 28.0	35%
SNAP.US	Snap Inc	Market-Perform	USD	\$ 5.7	\$ 7.0	22%

Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE DRIVERS

Top-line growth remains the most important metric for our covered companies. Since CPMs are an output of advertising supply and demand, and the shift in ad formats wreaks havoc on traditional P*Q approaches to forecasting digital advertising markets, we think the best way to think about top-line growth is in terms of (1) how fast the market growing; and (2) whether each specific company is gaining or losing share

KEY FINANCIALS

1. **Revenue growth** The most important metric for these players is advertising revenue, but each company also has other particular revenue streams. Reddit has other revenue tied to its data licensing business, where it closed substantial deals with players such as Google and OpenAI last year, but its growth looks set to slow as it has only signed deals with smaller players. AppLovin also monetises through in-app purchases, which include fees collected from users who purchase virtual goods in mobile games, and Roku has its own hardware business.
2. **Users.** An important measure of engagement is user/subscriber growth, while Average Revenue per User (ARPU) is a measure of monetisation. Reddit discloses its number of Daily Active Users (DAU) per quarter, split into US and ROW.

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 36: **Social Media - capital allocation**

Ticker	Company	Dividend	Share buyback	M&A
RDDT.US	Reddit Inc	N/A	+	+
META.US	Meta Platforms Inc	+	+	+
PINS.US	Pinterest Inc	N/A	++	+
SNAP.US	Snap Inc	N/A	+	N/A

Source: Bloomberg, Bernstein estimates and analysis

US VS EUROPE

There are no social media platforms listed in Europe. The more significant competition here is based in Asia.

MARKETPLACES

Universe

These digital platforms connect buyers and sellers. The raison d'être is providing merchants with access to a large audience without having to build their own storefront from scratch. Other services provided by these platforms include the infrastructure for listings, payments, and often fulfillment. The products sold depend on the platform.

EXHIBIT 37: **Marketplace coverage**

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
EBAY.US	Ebay	Market-Perform	USD	\$ 108.8	\$ 100.0	-8%
AMZN.US	Amazon	Outperform	USD	\$ 250.0	\$ 315.0	26%
ETSY.US	Etsy	Market-Perform	USD	\$ 67.1	\$ 65.0	-3%

Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE DRIVERS

The main topics that drive the share price of these companies beyond macro are the competitive dynamics and the broader e-commerce demand.

KEY FINANCIALS

1. **GMV**, which measures the total transaction value processed through the platform before any deductions.
2. **Take-rate**, which equals the percentage of transaction value the platform captures as revenue, and is indicative of value-added services and advertising revenue.
3. **Operating profit and/or EBITDA margin**, which captures profits after operating expenses including marketing intensity, fixed costs, and other costs.

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 38: **Marketplace capital allocation**

Ticker	Company	Dividend	Share buyback	M&A
EBAY.US	Ebay	+	+	+
AMZN.US	Amazon	N/A	N/A	+
ETSY.US	Etsy	N/A	+	+

Source: Bloomberg, Bernstein estimates and analysis

US VS EUROPE

There are no similar marketplaces listed in Europe. The closest is Allegro in Poland, which is not covered at Bernstein.

COMMERCE ADVERTISING / RETAIL MEDIA

Universe

The main raison d'être of these companies is not advertising but when breaking down their profitability one notices that a disproportionately large chunk is coming from advertising. Think Food Delivery companies for example, they benefit enormously from retail media.

A Retail Media network refers to **advertising displayed within a retail online environment**. It is similar to display advertising but instead of the advertisement being put on a random website, it is placed on the website/app of the retailer, which puts it closer to the point of sale. Retailers' consumer data (think purchase history, browsing and payment method, location, etc.) and insights **help brands target their advertising to consumers, while the retailers themselves benefit from a new high-margin revenue stream**, advertising, at seemingly no cost.

EXHIBIT 39: Our Retail Media coverage

Ticker	Company	Rating	Currency	Close Price	Price Target	Up-/downside
GOOGL.US	Alphabet Inc	Market-Perform	USD	\$ 359.0	\$ 390.0	9%
CART.US	Maplebear Inc	Outperform	USD	\$ 40.0	\$ 50.0	25%
UBER.US	Uber Technologies Inc	Outperform	USD	\$ 71.7	\$ 110.0	53%
DASH.US	DoorDash Inc	Outperform	USD	\$ 154.6	\$ 270.0	75%
DHER.GY	Delivery Hero	Outperform	EUR	€ 38.1	€ 28.0	-27%

Source: Bloomberg, Bernstein estimates and analysis

SHARE PRICE DRIVERS

The share prices of many of these stocks are driven by M&A headlines. While Alphabet is sensitive to Cloud and Search growth KPIs, the food delivery companies are also sensitive to regulation changes notably around the hiring model of drivers.

KEY FINANCIALS

1. **Revenue.** Revenue growth is driven by order numbers and basket size for the food delivery companies. However, they have adjacent revenue lines notably advertising, which have a disproportionate impact on profitability.
2. **EBITDA margin and FCF.** The food delivery market is still in consolidation mode, this has as an implication that incumbents are still spending heavily to fend off competition (this and continued regulatory issues/fines) have an adverse impact on profitability and cash generation. Investors are looking for consistent cash generation.

CAPITAL ALLOCATION, BUYBACKS AND DIVIDENDS

EXHIBIT 40: Retail Media capital allocation

Ticker	Company	Dividend	Share buyback	M&A
GOOGL.US	Alphabet Inc	+	+	N/A*
CART.US	Maplebear Inc	N/A	+	N/A
UBER.US	Uber Technologies Inc	N/A	+	+
DASH.US	DoorDash Inc	N/A	+	+
DHER.GY	Delivery Hero	N/A	N/A	+

*limited due to concentration issues

Source: Bloomberg, Bernstein estimates and analysis

US VS EUROPE

Only Delivery Hero is listed in Europe even though it barely has any operations in Europe. The market is consolidating, with DoorDash's acquisition of Deliveroo following Prosus' acquisition of Just Eat Takeaway in 2025. There is more recent movement toward further consolidation as well (see: [UBER and DASH: Delivery Hero is on the menu – a pro forma P&L](#)). DoorDash is investing behind Deliveroo's integration, and cost synergies and heightened competition are key themes to watch for on the back of consolidation.

On the advertising side, there is no major difference between US and European food delivery companies. We believe though the more developed tipping nature of the US should play into the cards of US food delivery firms over the rest of the world where the tipping nature is more subdued.

APPENDIX - FINANCIAL FORECASTS

ACRONYMS

CPM/CPT: cost per thousand. This is a measurement metric in media. It provides the cost for media based on thousand impressions.

Cost-plus model: This is a licensing deal model in which a broadcaster/streamer/network pays a production house for the entire cost of production. It also pays the production margin and a premium for the rights to broadcast the show on certain channels for a pre-defined length of time.

Display advertising: It refers to advertising on a website for example the small ads that one can see on the right / left or top of a website.

Media buyer: This is a person that works in a media agency and is in charge of buying media space/inventory i.e. TV slots, Billboard space or digital space for example.

Media planner: This is a person that works in an advertising agency and helps big brands to allocate their budget to different media channels such as TV, OOH, Digital etc

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INITIATIONS PUBLISHED IN 2025 & 2026

12 Jan 2026 - [Auto Trader: Greasing the wheels of the used car ecosystem — Initiating at Market-Perform](#)

5 Nov 2025 - [Scout24: Home alone - Initiating at Outperform](#)

1 Oct 2025 - [Rightmove: Innovating from strong foundations - Initiating at Outperform](#)

16 Jul 2025 - [Informa: Clone and conquer](#)

INDUSTRY PRIMERS PUBLISHED IN 2025 & 2026

5 Sep 2025 - [US Internet 101: A back-to-school primer on Digital Ads, eCommerce, and On-Demand services](#)

5 Nov 2025 - [The Long View: Challenging AI concerns - Trust and ROI beat "wow" effect](#)

30 Sep 2025 - [Global Internet: Top of the Funnel goes \(Nano\) Banana\(s\)](#)

10 Feb 2026 - [Classifieds: AI meets real world challenges](#)

3 Mar 2025 - [Global Internet: 10 things that matter at the Top of the Funnel](#)

BERNSTEIN TICKER TABLE

Ticker	Rating	5 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
HAVAS.NA (Havas)	O	EUR	16.70	21.00	(1.2)%	EUR	1.91	2.03	2.13	8.7	8.2	7.8
WPP.LN (WPP)	M	GBp	262.70	332.00	(65.4)%	GBP	0.63	0.51	0.52	4.2	5.2	5.0
PUB.FP (Publicis)	O	EUR	87.44	115.00	(20.3)%	EUR	7.48	7.86	8.37	11.7	11.1	10.4
ITV.LN (ITV)	M	GBp	82.65	86.00	(4.5)%	GBP	0.08	0.09	0.09	9.8	9.7	9.2
PSM.GR (ProSieben)	M	EUR	3.71	4.30	(60.0)%	EUR	0.90	0.63	0.83	4.1	5.9	4.5
RRTL.GY (RTL)	M	EUR	31.55	37.00	(18.7)%	EUR	0.15	2.62	2.78	214.8	12.0	11.4
TFI.FP (TF1)	M	EUR	6.79	7.50	(33.4)%	EUR	0.69	0.57	0.64	9.8	11.9	10.6
MMT.FP (M6)	M	EUR	11.48	11.00	(21.1)%	EUR	1.24	0.95	1.21	9.3	12.1	9.5
CRTO (Criteo)	O	USD	17.29	35.00	(45.3)%	USD	4.62	3.95	4.13	3.7	4.4	4.2
DEC.FP (JCDecaux)	M	EUR	18.69	20.90	5.0%	EUR	1.25	1.30	1.48	14.9	14.4	12.7
SAX.GR (Stroeer)	M	EUR	35.12	36.00	(45.9)%	EUR	2.70	2.55	3.00	13.0	13.8	11.7
AUTO.LN (Auto Trader)	M	GBp	468.70	545.00	(53.1)%	GBP	0.33	0.34	0.40	14.3	13.9	11.7
RMV.LN (Rightmove)	O	GBp	438.80	563.00	(54.6)%	GBP	0.28	0.30	0.34	15.7	14.5	13.0
G24.GR (Scout24)	O	EUR	74.60	90.00	(50.0)%	EUR	3.47	4.19	4.85	21.5	17.8	15.4
UBER (Uber)	O	USD	72.21	110.00	(40.3)%	USD	2.45	3.35	4.37	29.4	21.6	16.5
DASH (DoorDash)	O	USD	160.07	270.00	(50.9)%	USD	5.08	5.48	7.84	31.5	29.2	20.4
ZG (Zillow)	O	USD	35.98	70.00	(72.6)%	USD	1.65	2.26	3.15	21.8	15.9	11.4
CART (Instacart)	O	USD	41.48	50.00	(35.0)%	USD	3.42	4.05	4.70	12.1	10.3	8.8
LYFT (Lyft)	M	USD	14.12	16.00	(35.6)%	USD	1.31	1.59	1.88	10.8	8.9	7.5
EBAY (eBay)	M	USD	109.15	100.00	17.1%	USD	5.52	6.12	6.45	19.8	17.8	16.9
ETSY (Etsy)	M	USD	67.05	65.00	(16.4)%	USD	4.80	5.97	7.07	14.0	11.2	9.5
W (Wayfair)	M	USD	72.49	85.00	30.5%	USD	2.60	2.76	3.68	27.9	26.3	19.7
NFLX (Netflix)	O	USD	81.52	110.00	(56.5)%	USD	2.53	3.20	3.80	32.3	25.5	21.5
DIS (Disney)	O	USD	99.34	129.00	(35.3)%	USD	5.93	6.85	7.37	16.8	14.5	13.5
WBD (Warner Bros)	M	USD	27.00	27.75	155.7%	USD	0.29	(1.23)	(0.32)	93.1	(22.0)	(85.3)
PSKY (Paramount Skydance)	U	USD	10.68	12.00	NA	USD	0.52	0.66	0.60	20.5	16.2	17.8
FOXA (Fox)	M	USD	65.54	73.00	(0.5)%	USD	4.47	5.16	5.81	14.6	12.7	11.3
CMCSA (Comcast)	M	USD	23.33	32.00	(50.2)%	USD	4.30	3.34	3.90	5.4	7.0	6.0
GOOGL (Alphabet)	M	USD	372.19	390.00	96.3%	USD	10.81	14.47	14.32	34.4	25.7	26.0
AMZN (Amazon)	O	USD	253.79	315.00	(1.9)%	USD	7.17	8.78	11.12	35.4	28.9	22.8
META (Meta)	O	USD	627.57	850.00	(34.0)%	USD	23.49	33.54	37.04	26.7	18.7	16.9
SNAP (Snap)	M	USD	6.07	7.00	(52.9)%	USD	0.39	0.61	0.74	15.7	9.9	8.2
PINS (Pinterest)	O	USD	21.59	28.00	(61.7)%	USD	1.60	1.78	2.18	13.5	12.1	9.9
RDDT (Reddit)	M	USD	183.91	190.00	29.8%	USD	2.63	4.35	5.45	70.0	42.2	33.8
DHER.GR (Delivery Hero)	O	EUR	38.03	28.00	51.1%	EUR	(3.10)	(2.62)	(2.90)	1.2	1.0	1.0
CAN.LN (Canal+)	O	GBp	275.80	3.15	26.0%	GBP	0.15	0.24	0.34	19.0	11.5	8.2
EDME			1,542.17									
SPX			7,405.73									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

GOOGL, AMZN, META estimate is Reported EPS; GOOGL, AMZN, META valuation is Reported P/E (x); DHER.GR valuation is EV/Sales (x); DHER.GR base year is 2024; CAN.LN Price Target currency is in GBP

Source: Bloomberg, Bernstein estimates and analysis.

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